

Notice from the National Commission for Data Protection regarding the draft Grand-Ducal Regulation on interadministrative cooperation between the Ministry of Mobility and Public Works and the Administration of Registration, Domains, and VAT

Deliberation No. 1/AV1/2024 of January 19, 2024

1.
In accordance with Article 57.1.e) of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPDP") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

Article 36.4 of the GDPR states that "Member States consult the supervisory authority in the context of the preparation of a legislative proposal to be adopted by a national parliament, or a regulatory measure based on such a legislative measure, which relates to processing."

2.
By letter received on October 9, 2023, the Ministry of Finance invited the National Commission to express its opinion on the draft Grand-Ducal Regulation concerning interadministrative cooperation between the Ministry of Mobility and Public Works and the Administration of Registration, Domains, and VAT (hereinafter referred to as the "draft Grand-Ducal Regulation").

3.
According to the explanatory memorandum, the draft Grand-Ducal Regulation implements Article 14.2 of the amended law of December 19, 2008, concerning interadministrative and judicial cooperation and the strengthening of the means of the Administration of Direct Contributions, the Administration of Registration and Domains, and the Customs and Excise Administration, and amends - the amended law of February 12, 1979, concerning value-added tax; the General Tax Law ("Abgabenordnung"); - the amended law of April 17, 1964, reorganizing the Administration of Direct Contributions; - the amended law of March 20, 1970, reorganizing the Administration of Registration and Domains; - the law

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1. Modified on November 27, 1933 concerning the collection of direct contributions and social security contributions (hereinafter referred to as the "modified law of December 19, 2008").
2. The second paragraph of Article 14 was inserted into the modified law of December 19, 2008 by a law of July 20, 2022, which was the subject of two opinions from the CNPDP. This provision concerns the transmission by the Ministry of Transport of information on registered vehicles to the Administration of Registration, Domains, and VAT (hereinafter referred to as the "AED") for the purpose of verifying

the correct collection of VAT. In accordance with paragraph 2 of Article 14.2 mentioned above, the draft Grand-Ducal regulation aims to specify the modalities for the communication of data between the Ministry of Transport and the AED.

****I. Regarding Article 1.1 of the draft Grand-Ducal regulation****

3. The only clarification provided by Article 1.1 of the draft Grand-Ducal regulation in relation to Article 14.2 of the modified law of December 19, 2008 is that the transmission of data is carried out "by means of a computer system."

4. In its opinion of December 12, 2023, the Council of State proposes to complete this wording with the terms "secured through strong authentication." This proposal from the Council of State aligns with the observations made by the CNPD in its opinion of March 4, 2022 regarding draft law No. 7872, which was to become the law of July 20, 2022. In that opinion, the CNPD particularly emphasized the importance of ensuring appropriate security for personal data, in accordance with Articles 5.1.f) and 32 of the GDPR.

****II. Regarding Article 1.2 of the draft Grand-Ducal regulation****

5. The CNPD notes a certain inconsistency in the terminology used in the draft Grand-Ducal regulation, creating uncertainties regarding the practical modalities for making the data available. Thus, Article 1.2 of the draft Grand-Ducal regulation refers to "access of the [AED] to the information stored in the electronic databases referred to in paragraph 1," while Article 1.1 of the draft Grand-Ducal regulation, just like Article 14.2 of the modified law of December 19, 2008, stipulates that it is the responsibility of the Ministry of Transport to transmit to the AED the data listed in points 1° and 2° of the aforementioned Article 14.2.

6. The draft Grand-Ducal regulation, in that it seems to provide for direct access of the AED to the data held by the Ministry of Transport, risks not being compliant with the modified law of December 19, 2008, which only provides for data transmission. Furthermore, there is reference to "electronic databases referred to in paragraph 1," while paragraph 1 does not mention such databases but merely refers to the data listed in Article 14.2 of the modified law of December 19, 2008.

7. The National Commission positively notes that Article 1.2 of the draft Grand-Ducal regulation restrictively specifies the categories of persons entitled to access this data. Indeed, under the principle of security and confidentiality enshrined in Articles 5.1.f) and 32 of the GDPR, only authorized persons should have access to the data they need in the context of their activities. However, it is regrettable that the draft Grand-Ducal regulation does not provide for an access logging system, as suggested by the CNPD in its opinion of March 4, 2022.

Thus adopted in Belvaux on January 19, 2024.

The National Commission for Data Protection

Tine A. Larsen
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